

Generational Changes

by Sophia



WHAT'S COVERED

In this lesson, you will consider the differences in worker attitudes and expectations that correlate to when they were born. Specifically, this lesson will cover:

1. Generations in the Workforce



In Western countries, since the early 20th century, people have been divided into generational cohorts, linked by shared experiences that shape their attitudes and even their ethics. Although there may be slight differences in the demarcations, depending on the source, a rough breakdown of people currently in the workforce is:

- **Baby Boomers:** Born 1946–1964
- **Generation X:** Born 1965–1980
- **Millennials (aka Generation Y):** Born 1981–1996
- **Generation Z:** Born 1997–2012

Although there are some workers older than the baby boomer generation still working (including President

Joe Biden, as of 2023), most people you encounter in the workforce will fall into these four categories. As the baby boomer generation ages, more and more people are retiring. In 2010, more than 25% of all employees were retirement age. Fast forward to the U.S. labor force in 2017, however, and millennials have taken over the top spot in the labor market, with more than 40% of the total workforce. Although older workers are now retiring closer to the traditional retirement age of 65, many plan to keep working beyond 65, often into their 70s. No longer is retirement an all-or-nothing proposition, and older workers in the baby boomer generation are taking a more positive attitude toward their later years. A surprising number of Americans expect to work full- or part-time after “retirement,” and most would probably work longer if phased retirement programs were available at their companies. Financial reasons motivate most of these older workers, who worry that their longer life expectancies will mean outliving the money they saved for retirement, especially after retirement savings took a hit during the global recession of 2007–2009. For others, however, the satisfaction of working and feeling productive is more important than money alone.

These converging dynamics continue to create several major challenges for companies today. It is not unusual to find a worker who is 50, 60, or even 70 working for a manager who is not yet 30. People in their 50s and 60s offer their vast experience of “what’s worked in the past,” and those in their 20s and 30s tend to be experimental, open to options, and unafraid to take risks; therefore, a diverse mix of ages in the workforce is beneficial to organizations. The most effective managers will be the ones who recognize generational differences and use them to the company’s advantage.

Many companies have developed programs such as flexible hours and remote work to retain older workers and benefit from their practical knowledge and problem-solving skills. In addition, companies should continually track where employees are in their career life cycles, know when they are approaching retirement age or thinking about retirement, and determine how to replace them and their knowledge and job experiences.

Another factor in the changing workforce is the importance of recognizing diversity among workers of all ages and fostering an inclusive organizational culture. According to a recent report by the U.S. Census Bureau, millennials are the largest generation in U.S. history, and more than 44% classify themselves as something other than “White.” In addition, women continue to make progress on being promoted to management, although their path to CEO seems to be filled with obstacles. The most successful organizations will be the ones that recognize the importance of diversity and inclusion as part of their ongoing corporate strategies, which include age diversity.



TERMS TO KNOW

Baby Boomers

The generational cohort born between 1946 and 1964.

Generation X

The generational cohort born between 1965 and 1980.

Millennials (aka Generation Y)

The generational cohort born between 1981 and 1996.

Generation Z

The generational cohort born between 1997 and 2012.

2. Stereotypes and Meta-Stereotypes

In the previous section, generational similarities were defined as “shared experiences” that shape attitudes

and ethics. This raises the question: What experiences inform each generation's attitudes, particularly toward work?

2a. What Defines a Generation?

- The baby boomer era, though famously rebellious against conventions as they came of age, are fairly traditionalist at work, with the belief that you can begin on the ground floor and work your way up in an organization. In fact, boomers largely did have this experience. College was affordable for most middle-class families, but careers could still be carved out even without a degree. Homes were affordable. As the first generation where both parents worked, in a nuclear family, income surpassed that of their parents.
- As children, Generation X were the “latchkey kids,” referring to the empty houses they returned to after school and before their parents came home from work. This made them somewhat more autonomous than previous generations. Economically, Generation X were able to take advantage of the economic boom of the 1990s if they were technologically savvy, but wages were stagnating in other industries. Career advancement has often been stymied by boomers reluctant to give up the reins, and when those jobs finally do open up, they are passed on to younger workers than middle-aged Gen X. While it was not unusual for the previous generation to have a single employer for most of one's career, Generation X has changed companies and even careers, both out of choice and out of necessity.
- Millennials came of age around the turn of the century, and their formative experiences are shaped by the recessions of 2008 and 2020. Because of rising college costs and home prices, they may be saddled with debt, unable to buy a house, and enter their middle-aged years without financial security. Because the millennial generation is also more diverse, they are also more aware of and concerned about DEI issues.
- Generation Z is entering the workforce now, but it is too soon to really understand this generation, though for opinions and attitudes, they are similar to millennials.

Though perhaps exaggerated by the media, there is notable tension between baby boomers and millennials. Boomers sometimes complain that the younger generation is spoiled or lazy, while millennials are frustrated by the lack of respect they get from older workers. In the 2020s, the phrase “OK, boomer!” turned a long-used generational label, “boomer,” into a pejorative. Meanwhile, Generation X might feel erased, sometimes with justification, as people born in the late 1960s and 1970s are simply omitted in discussions of generational differences.

Today, as these different generations work side by side in the workplace, employers and managers need to be able to identify their unique characteristics. Each generation has distinctive expectations, habits, attitudes, and motivations.

2b. Technology

One of the key differences between generations is the technology they grew up with and are comfortable with. For example, boomers often stereotypically prefer telephone calls, Gen X prefers emails, and millennials prefer texts, all representing the common technology as they entered the workforce. But this also leads to stereotypes. Millennials may stereotype boomers as not tech-savvy and slow to learn new skills. In fact, studies show that one reason older workers struggle with technology is that they receive poorer training due to the lowered expectations of the younger trainers for older workers. Meanwhile, perhaps the biggest grievance boomers have against millennials is that they are “stuck to their phones.” When a millennial is on a phone during a meeting, for example, they may perceive it as not paying attention, when in fact the younger worker is using the device as a job aid, taking notes, adding meetings to their calendar, and so forth.

2c. Work Ethic

There are also generational stereotypes about work ethic. Baby boomers are typically more traditional at work. However, millennials want and expect more flexibility, such as varying their schedule or working from home. In 2022 and 2023, terms like “quiet quitting” and “minimalist Mondays” surfaced to represent less commitment to work by younger employees, such as not answering emails over the weekend and not jumping into the workweek feet first. These behaviors may be described by older workers as lazy and entitled.

2d. Mutual Understanding

It is crucial for each cohort to understand each other to work well together. While boomers enjoyed economic prosperity throughout their adulthood, and Generation X enjoyed an economic boom in the 1990s, there has been no such period for millennials to stake out an economic identity. In the recessions of 2008 and 2020, many found permanent employment hard to come by. Moreover, the boomer generation found that the previous generation retired and vacated top positions just as they were ready to advance; millennials and Gen X have found that boomers hang on well past the traditional retirement age. Meanwhile, millennials have found it far more difficult to own a home or pay off student loans as the costs of homes and education have skyrocketed, while salaries have stagnated. This generation has thus developed an identity more independent of work and career, and a desire to at least find a job that accommodates their needs.

Similarly, millennials might appreciate the momentous change in work environments in the lifetime of the baby boom generation. The older boomers entered a work sphere of typewriters and telephones wired to the desk, and from the 1980s to the present had to adjust regularly to new technologies, even unlearning the rules of the past technological wave to adjust to the next. Far from being technologically incompetent, they have shown more adaptability than any other generation in history.

Moreover, boomers came of age with different expectations, many entering the workforce when offices were more hierarchical and demanding. Women, especially, found their work limited to secretarial and administrative tasks and suffered through an era of chauvinism and harassment to hang on to their jobs (Shorr, 2013). Because of this, older workers have a wisdom and knowledge of institutional or industry history that millennials can learn from.

Perhaps the best way to overcome these divides is to understand that they are, in fact, exaggerated. When surveyed on older colleagues, younger workers describe them as responsible, hardworking, and mature. Older workers describe their young colleagues as energetic, open-minded, and ethical. In short, each generation also has positive feelings about other generations that are not featured in catchy headlines.

In a *Harvard Business Review* article, the authors describe **meta-stereotypes**—essentially, the stereotypes we assume others have about us. The generational divide is particularly galvanized by these meta-stereotypes, with each side presuming the other has negative stereotypes. These meta-stereotypes may be more harmful than the stereotypes (King, et al, 2019).



TERM TO KNOW

Meta-Stereotypes

The assumptions of what stereotypes other demographics have about one's own demographic.

3. Managing Generational Differences

Workplace values can vary significantly across generations. Baby boomers may value loyalty, hard work, and

hierarchical structure, while Gen Xers prioritize work-life balance and autonomy. Millennials often seek meaningful work, diversity and inclusion, and opportunities for growth and development. Gen Zers may value social responsibility and technology integration. Understanding and respecting these diverse values can help create a more inclusive and productive workplace culture.

Intergenerational communication in the workplace refers to the interaction and exchange of information between employees from different age groups. This can include baby boomers, Generation X, millennials, and Generation Z. Effective intergenerational communication is essential for maintaining a productive and harmonious workplace. Each generation has its unique set of values, communication styles, and work preferences, which can sometimes lead to misunderstandings and conflicts. It is crucial to bridge the communication gap by encouraging open dialogue, active listening, and mutual respect. Building a culture of inclusivity, collaboration, and understanding can enhance intergenerational communication and promote a positive and diverse work environment.

In a multigenerational workplace, tension can arise due to differences in work styles, communication preferences, and values. An ethical manager can play a crucial role in ameliorating these tensions by promoting open communication, encouraging respect, and embracing diversity. Here are some specific examples of what an ethical manager can do to help:

Encourage communication	The manager should encourage open communication between employees of different generations. This can be achieved by organizing team-building exercises or regular meetings where employees can share their experiences and ideas.
Embrace diversity	An ethical manager should value diversity and embrace it in the workplace. This means hiring people of different ages, cultures, and backgrounds and creating an environment where everyone feels valued and respected.
Foster mutual respect	The manager should promote mutual respect among employees of different generations. This can be achieved by creating a code of conduct that emphasizes the importance of treating everyone with dignity and respect.
Provide training	The manager can provide training to employees on how to work effectively with people from different generations. This can include training on communication skills, conflict resolution, and cultural sensitivity.
Lead by example	The manager should lead by example and demonstrate the importance of respecting and valuing people of different generations. This can include recognizing the contributions of employees from different age groups and providing opportunities for career development.

By taking these steps, the manager can create a harmonious and productive workplace where everyone can thrive.

Intergenerational teams in the workplace can be a powerful force when talents and expertise are combined. Younger team members can bring fresh perspectives and technological savvy, while older team members can offer valuable experience and wisdom. By fostering a culture of collaboration and respect, intergenerational teams can achieve great results that benefit everyone involved. Effective communication and mentoring programs can also help bridge any generation gaps and promote teamwork. Recognizing that all team members have talents, skills, and experience to offer can allow them to combine their efforts to produce results that go beyond what any one team member could create on their own. Respecting those differences is the first step to effective multigenerational team management and success.



SUMMARY

In this lesson, you learned about how combining the talents and expertise of the different **generations in the workforce** can lead to innovative solutions and increased productivity. However, there may be differences in attitudes and expectations among workers from different generations, including the baby boomer, Gen X, millennial, and Gen Z generations. These differences can lead to **stereotypes and meta-stereotypes** that lower the trust between colleagues and hinder collaboration. Managing **generational differences** requires respecting those differences and understanding changing workforce demographics, stereotypes, and meta-stereotypes. Effective communication and collaboration can help bridge these gaps and create a cohesive, productive, and successful team.

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